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We define “turnover” as the number of shares traded as a percentage of shares outstanding.

7

Taleb defines a “black swan” as (1) an outlier beyond the realm of our regular expectations, (2) an event that carries an extreme impact, and (3) a happening that, after the fact, our human nature enables us to accept by concocting explanations that make it seem predictable. So there it is: events that are rare, extreme, and retrospectively predictable. Life is full of them, especially in the financial markets!

8

A reference to the work of the great economist Joseph Schumpeter, whose analysis of the role of the entrepreneur as the driving force in economic growth has now been accepted as part of conventional wisdom.

9

The equity premium is the amount by which the annual returns on stocks have exceeded—or are expected to exceed—the risk-free rate of return (usually U.S. Treasury bills or bonds).

10

Occam expressed the razor (or rule) in various ways in his writings. The most common version translates from the Latin as “Plurality ought never be posited without necessity.”

11

In mid-2008 *Grant’s Interest Rate Observer* examined one such CDO. Its original principal value was \$2 billion. Every series of bonds had been downgraded, with the AAA bonds now rated B1 (“speculative, high credit risk”). The estimated value of the entire portfolio had plummeted by more than 80 percent, to \$362 million.

12

Even this backing proved insufficient to relieve the great financial pressure on these two enterprises. So, in September 2008 the U.S. Treasury Department placed them in a federal conservatorship.